

AMENDMENT TO H.R. 8800
OFFERED BY MR. FALLON OF TEXAS

Insert at the appropriate place in title XIV the following new section:

1 SEC. 14 ____ . CRITICAL MINERALS TRACEABILITY PILOT
2 PROGRAM.

3 (a) ESTABLISHMENT.—Not later than 180 days after
4 the date of the enactment of this Act, the Secretary of
5 Defense shall establish a pilot program within the Defense
6 Logistics Agency to develop and evaluate traceability sys-
7 tems for essential materials managed by the Agency, in-
8 cluding materials held in or acquired for the National De-
9 fense Stockpile. In carrying out the pilot program, the
10 Secretary of Defense shall seek to—

11 (1) improve the ability of the Department of
12 Defense to rapidly mobilize and allocate materials
13 during national emergencies or contingencies; and

14 (2) inform potential future Department-wide
15 implementation of traceability requirements for de-
16 fense-critical supply chains.

17 (b) CONTRACTS.—In carrying out the pilot program,
18 the Secretary of Defense shall seek to enter into contracts

1 with appropriate entities to provide traceability systems
2 in accordance with this section.

3 (c) TRACEABILITY PROVIDERS.—

4 (1) REQUIREMENTS FOR PROVIDERS.—The
5 Secretary of Defense shall require that any entity
6 that enters into a contract under this section—

7 (A) be organized under the laws of the
8 United States;

9 (B) be owned and controlled by a United
10 States person; and

11 (C) not be subject to foreign ownership or
12 control or influence by any foreign government.

13 (2) CONTRACT REQUIREMENTS.—Any contract
14 entered into under this section shall require that the
15 entity operate exclusively as a noncustodial digital
16 traceability and verification service and shall not—

17 (A) extract, process, refine, transport,
18 store, broker, finance, or take title to any cov-
19 ered material; or

20 (B) exercise physical control, custody, or
21 possession of any covered material.

22 (d) TRACEABILITY SYSTEM.—

23 (1) COVERED MATERIALS.—Any contract en-
24 tered into under this section shall require that the

1 traceability system provided under such contract
2 traces the following materials:

3 (A) Titanium and titanium alloys.

4 (B) Cobalt.

5 (C) Rare earth elements and permanent
6 magnet materials.

7 (D) Lithium and battery-grade materials.

8 (E) Such other strategic and critical mate-
9 rials as the Secretary of Defense determines are
10 necessary to support defense production and
11 surge requirements.

12 (2) TECHNICAL REQUIREMENTS.—Any contract
13 entered into under this section shall require that the
14 traceability system provided under such contract—

15 (A) provides end-to-end visibility of covered
16 materials from point of extraction through proc-
17 essing, transportation, and end use in defense
18 articles or defense services;

19 (B) verifies the origin, chain of custody,
20 mass balance, purity, and processing history of
21 covered materials;

22 (C) maintains tamper-resistant, immu-
23 table, and time-stamped records of custody
24 events, transformation events, and compliance
25 status for covered materials;

1 (D) employs cryptographic mechanisms to
2 protect sensitive commercial and national secu-
3 rity data while enabling verification by author-
4 ized security personnel;

5 (E) enables continuous auditing, anomaly
6 detection, and identification and assessment of
7 supply chain threats; and

8 (F) integrates with existing Department of
9 Defense procurement, intelligence monitoring,
10 and risk assessment frameworks, including sup-
11 port compliance audits conducted under section
12 252.225-7052 of the Defense Federal Acquisi-
13 tion Regulation, or successor regulations.

14 (e) ENFORCEMENT.—The Secretary of Defense may
15 enforce compliance with the requirements of this section
16 through—

17 (1) suspension or termination of contracts with
18 entities that fail to comply with traceability system
19 requirements under this section;

20 (2) withholding of payments for contractors or
21 subcontractors that fail to provide required
22 traceability documentation; and

23 (3) exclusion from future defense contracts of
24 entities that repeatedly fail to meet traceability sys-
25 tem requirements under this section.

1 (f) PHASED EXPANSION.—

2 (1) PHASE I.—During the period beginning on
3 the date the pilot program is established under sub-
4 section (a) and ending on September 30, 2028, the
5 Secretary of Defense shall implement a traceability
6 system for materials managed by the Defense Logis-
7 tics Agency, with priority given to covered materials
8 designated as critical to weapons systems produc-
9 tion.

10 (2) PHASE II.—Subject to the results of the re-
11 port required under subsection (h), the Secretary of
12 Defense may expand the traceability system to cov-
13 ered materials procured under defense contracts sub-
14 ject to the Defense Federal Acquisition Regulation
15 Supplement, beginning not earlier than October 1,
16 2029.

17 (g) BRIEFING.—Not later than one year after the
18 date on which the Secretary of Defense establishes the
19 pilot program under subsection (a), the Secretary shall
20 provide a briefing to the Committee on Armed Services
21 of the House of Representatives. Such briefing shall in-
22 clude—

23 (1) a description of each traceability system
24 being evaluated under the pilot program, including

1 an assessment of how such system satisfied the tech-
2 nical requirements under subsection (d);

3 (2) the criteria and process used to select a
4 traceability service provider for the pilot program,
5 including how provider eligibility requirements under
6 subsection (c) were assessed and enforced;

7 (3) the timeline and status of pilot program im-
8 plementation milestones; and

9 (4) any challenges or resource requirements en-
10 countered in establishing the pilot programs.

11 (h) REPORT.—Not later than two years after the date
12 on which the Secretary of Defense establishes the pilot
13 program under subsection (a), the Secretary shall submit
14 to the congressional defense committees a report assessing
15 the results of the pilot program. Such report shall in-
16 clude—

17 (1) an assessment of the operational effective-
18 ness of each traceability system evaluated under the
19 pilot program;

20 (2) an assessment of the impacts of such sys-
21 tem on defense readiness and surge capacity;

22 (3) an assessment of the implications of such
23 system for National Defense Stockpile management
24 and replenishment;

1 (4) an assessment of the cost, scalability, and
2 integration of such system with existing Department
3 of Defense procurement systems; and

4 (5) recommendations for expansion of the pilot
5 program or permanent authorization of a traceability
6 requirement for defense-critical supply chains.

7 (i) DEFINITIONS.—In this section:

8 (1) The term “covered materials” means any
9 material listed in subsection (d)(1).

10 (2) The term “National Defense Stockpile”
11 means the stockpile provided for in section 3 of the
12 Strategic and Critical Materials Stockpiling Act (50
13 U.S.C. 98b).

14 (3) The term “United States person” has the
15 meaning given such term in section 7701(a)(30) of
16 the Internal Revenue Code of 1986.

